

informed the regulator about this.

“Sebi has strong institutional mechanisms of disclosure and recusal norms as per the code of conduct applicable to its officers. Accordingly, all disclosures and recusals have been diligently followed, including disclosures of all securities held or subsequently transferred,” the Sebi chief said in their statement.

Hindenburg also mentions Buch’s interest in Singapore-based consulting firm Agora Partners, which was registered in 2013 as a business and management consultancy. It alleges that from April 2017 to March 2022, while Buch was at Sebi, she held a 100% interest in the firm.

Buch has refuted this, saying that after Dhaval Buch resigned from Unilever in 2019, he started his own consultancy practice through these companies. The two consulting companies set up by Buch during her stay in Singapore—one in India and one in Singapore—became dormant upon her appointment to Sebi. These companies (and her shareholding in them) were explicitly part of her disclosures to Sebi, she claims. “When the shareholding of the Singapore entity moved to Dhaval, this was once again disclosed, not just to Sebi, but also to the Singapore authorities and the Indian tax authorities,” she says in her rebuttal. What remains unanswered is whether Buch had disclosed the client list of her husband’s consultancy firm to Sebi to avoid any conflict of interest. The question also remains why, given her position, the Sebi chief did not recuse herself from the Adani probe.

Meanwhile, Sebi has said it has investigated the allegations made by Hindenburg against the Adani Group. In fact, the Supreme Court in its order in January noted that Sebi had completed 22 out of the 24 investigations into the group. In a release, Sebi has disclosed that one more investigation was completed in March 2024, and one remaining

## THE SAGA DRAGS ON

### January 2023:

Hindenburg accuses Adani Group of stock manipulation; Adani Group dismisses allegations



### February 2023:

Supreme Court orders Sebi to probe allegations; Adani Enterprises cancels its \$2.5 billion FPO due to market volatility



### January 2024:

The Supreme Court dismisses a plea for an independent CBI probe into the Adani Group



### June 2024:

Sebi accuses Hindenburg Research of sharing its findings on the Adani group with a hedge fund for trading



### July 2024:

Sebi issues a show-cause notice to Hindenburg, for falsely claiming it had no exposure to Adani Group shares listed in India



### August 2024:

Hindenburg says Sebi chief and her husband invested in offshore firms linked to Vinod Adani; Buch family refutes claims

investigation is “close to completion”. The last probe is at the centre of the allegation by Hindenburg. It is pending because Sebi is waiting for inputs from foreign regulators. A court-appointed committee had earlier told the Supreme Court that Sebi had “drawn a blank” in its probe into the 13 FPIs.

Sebi continues to follow up on the overseas FPIs for beneficial ownership. There has never been a requirement to disclose the ultimate person behind every entity holding an economic interest in the FPI. That poses a challenge for the regulator to get to the bottom of the case. Sebi has information about 42 investors in the FPIs who have invested in these funds. These investors are spread across seven jurisdictions. This information will establish the violations of minimum shareholding guidelines if Sebi finds a link to the promoters of the Adani Group. These FPIs and the Adanis have already denied any connection. “We find it unsurprising that Sebi was reluctant to follow a trail that may have led to its own Chairperson,” said Hindenburg in its report.

Shriram Subramanian, Founder and MD of InGovern Research Services, admits that figuring out the ultimate beneficial owner is a challenge for regulators globally, and one reason why there are restrictions on foreign ownership in sensitive sectors. “That said, regulators need to collaborate with other regulators for quid pro quo disclosures and transparency,” he says.

The Opposition, as earlier, has been targeting the government and Sebi over the new disclosures, while industry bodies such as AMFI and IVCA have stood by the Sebi chief. The final chapter of the saga is still unfolding, and the last leg of the 24 investigations is yet to reach its conclusion. **BT**

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